

Azorim's Yonkers Loan Shows Construction Debt Is Open Only for Proven Sponsors

A \$69M fixed-rate IO loan from Western Alliance Bank signals that construction capital is available, but only for sponsors with track records and structured exits.

The most important detail in Azorim's \$68.75 million construction loan for Miroza Tower 4 is not the loan amount. It is the lender. Western Alliance Bank, a regional bank that has not been indiscriminate with construction exposure, provided the debt. That alone tells the market something: construction lending is not frozen. It is concentrated on sponsors who have already proven they can deliver. Azorim is not a first-time developer testing the market.

It built the first three towers of the Miroza at Ridge Hill complex between 2013 and 2024. The fourth tower, a 14-story, 174-unit luxury apartment building, will complete a decade-long, 520-unit master-planned development. The sponsor has a track record, a relationship with the lender, and a project that is already partially de-risked by existing infrastructure and leasing momentum. The loan structure reinforces the point. It is fixed-rate and interest-only.

That is not a concession to a weak market. It is a reflection of a lender that trusts the sponsor's execution timeline and wants to avoid floating-rate volatility during construction. Interest-only construction loans are rare in this cycle. They are reserved for sponsors who can underwrite their own completion risk.

Walker & Dunlop's Jonathan Zilber, who arranged the transaction, noted that his team previously arranged \$145 million in financing for the second and third towers in late 2025. That continuity matters. The lender and the intermediary already know the asset, the market, and the borrower's ability to deliver. In a market where construction lenders are shortening their relationship lists, familiarity is a form of credit enhancement.

The project also benefits from a PILOT (payment in lieu of taxes) agreement and a market-rate bond structure. Those tools reduce the effective cost of carry during construction and improve the project's debt service coverage before a single lease is signed. Zilber explicitly cited the ability to optimize those structures as a competitive advantage in the financing process. That is not a footnote. It is the reason the loan pencils in 2026.

What this deal reveals about the broader construction lending market is more instructive than the deal itself. Construction debt is not broadly available. It is available to sponsors who can show a completed phase, a credible exit, and a capital stack that does not rely on aggressive rent growth to service debt.

The lenders who are still active-regional banks like Western Alliance, a handful of debt funds, and the agency construction programs-are not underwriting optimism. They are underwriting completion. The market implication is straightforward. Developers without a track record, without a relationship, and without a structured tax or bond component will struggle to find construction financing in 2026. The window is not closed, but it is narrow.

And it is reserved for sponsors who can prove they have already done what they are promising to do again. Who benefits from this deal? Azorim, which gets the capital to finish a project that will likely stabilize into a strong cash-flowing asset. Western Alliance, which adds a construction loan to a sponsor it trusts in a submarket with proven demand.

Walker & Dunlop, which deepens its relationship with both the borrower and the lender. Who is exposed? Developers without a completed phase, without a PILOT or bond structure, and without a lender relationship that predates the current cycle. They are not competing for the same capital. They are competing for a much thinner pool of debt that demands higher equity, shorter terms, and more recourse.

The next thing to watch is whether other regional banks follow Western Alliance's lead or whether this remains a relationship-driven exception. If more banks begin writing fixed-rate, interest-only construction loans for proven sponsors, the construction lending market is not thawing. It is re-segmenting. And the line between who gets capital and who does not will become even clearer. Construction debt in 2026 is not about the project. It is about the sponsor.

This deal proves it.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co